



Week beginning 12 October 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: When reality gets revised.

The Week That Was: Mulling the minutes.

Focus on New Zealand: Fuel, housing and the bumpy road ahead.

For the week ahead:

Australia: RBA minutes, business survey, labour force survey, Westpac-MI Leading Index.

New Zealand: monthly price indices, house prices and sales, retail card spending, manufacturing PMI.

China: CPI, PPI, trade balance.

Euro Area: industrial production, trade balance.

United Kingdom: BoE Governor Bailey speaking, monthly GDP.

United States: Columbus Day, FOMC Chair Warsh speaking, Beige Book, CPI, PPI, retail sales, industrial production, import prices, home sales.

Information contained in this report current as at 9 October 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

When reality gets revised



Luci Ellis
Chief Economist, Westpac Group

- Recent revisions to US PCE inflation, UK productivity and Canadian population estimates are reminders that statistical measurement is imperfect. Revisions are both a fact of life and, when they improve measurement, desirable.
- Australian data will also be revised over time, though not necessarily in the same ways as these latest revisions abroad. The ABS tends to favour quality over speed, which reduces the need for early revisions as more data become available. But revisions can still matter. Population estimates implied in the initial releases of labour market and GDP data are especially likely to be revised in the near term.
- Estimates of current trends can change as future data are published. Shifting seasonal patterns are another source of revision, especially for monthly CPI components with short histories. Series that are derived from multiple other imperfectly measured series are more prone to revision than quantities that can be measured directly. All these considerations point to a need for humility when using recent data to make strong policy pronouncements.

On September 30, the Fed's preferred measure of inflation, PCE, was revised down. New methods and data sources were applied to three components of services inflation (financial advice, software and legal services), large enough to result in downward revisions to the overall read on core PCE inflation. These changes had been pre-announced [in June](#) and were therefore not a surprise. The CPI measure of inflation was not affected, nor should the revisions materially change your view of US inflationary pressures.

Some revisions are more consequential for interpretation and policy. A couple of weeks before the US PCE revision, it was [revealed](#) that the UK Office for National Statistics was revising down its estimates of average hours worked per worker. The result was that measured productivity growth was nowhere near as weak as had been widely believed. As my friend and counterpart, TS Lombard's Chief Economist Freya Beamish commented on social media, "Oh well. Not like any major policy decisions were taken on the basis of those numbers." Quite.

Also in September, Statistics Canada [revised](#) up its estimates of Canada's population, taking the recent growth rates from outright contraction to still-slow growth a little below ½%yr. The number of temporary residents in Canada is still falling, but the revised data do a better job of tracking them, especially those seeking an extension on their permit. (An alert

for customers who have seen the cross-country population graph I often use at client events: the Canadian line now looks different but still shows a sharp slowing.)

"Economic data are often revised. Sometimes the revisions change the story; sometimes they do not."

There is no fault to be attributed here. Revisions to key statistics are a part of economic life. Sometimes the underlying data arrive with a lag, perhaps because of reporting deadlines. Sometimes the compiling agency improves its methods or gains access to a better data source. The US and UK examples above fall into this category. In the Canadian case, better data and a more accurate definition of scope were involved. All these revisions should be welcomed. They provide a more accurate picture of the underlying reality.

Australia, revised

Revisions are a fact of life for Australian statistics, too. I am still a little scarred by that unexpected -0.5%qtr GDP print when the September quarter 2016 data were first released on my first day as RBA Assistant Governor; the figure has since been revised to 0%qtr and was followed by a big bounce-back in the December quarter.

The recent revisions mentioned above are less likely to be replicated in Australia, though. Australia's CPI is designed such that the headline (not seasonally adjusted) measure is never revised. This is because it is used in many legal contracts. If an error is detected, the ABS makes the adjustment in subsequent months and quarters rather than revising the history. Our labour force survey has a much higher response rate than its UK equivalent – Australians are a compliant lot when the ABS comes knocking – and measures actual hours worked more reliably. And our population statistics already handle the array of temporary resident visas with the Bureau instead applying a standard 12-month-in-16-month residency test to count as a resident for the population statistics rather than using a visa-classification basis.

This last case illustrates Australia's broader tendency to favour quality over speed in official statistics. Our CPI and national accounts data tend to be published a bit later than peer countries' data for the same reference period, and our

estimated resident population data is quite a bit lagged relative to Canada's (the 12-month-in-16 criteria taking over a year to confirm). The trade-off is that observers of the Australian economy must wait longer but can be less worried about "flash" and "advance" releases of data that can be quickly revised to tell a completely different story.

Revisions to data still can matter in Australia, and it helps to be aware of the specific cases where it might occur. For example, precisely because the population data are very lagged, the population estimates underlying the initial releases of the labour force survey and national accounts are based on preliminary data and get revised later as a matter of routine. This is why ratios such as the unemployment, employment-to-population and participation rates provide a better real-time gauge of labour market conditions than the monthly change in employment. Similarly, GDP per capita can be revised even when GDP is not. This type of revision is also a more likely source of short-term changes in measured hours worked in the Australian productivity data than the conceptual change that shifted the UK data.

The usual reporting lags – and occasional correction of reporting errors by the reporting entity – will always be a factor in Australia just as it is in other countries. The annual national accounts, due on 23 October, incorporate additional data, revise the quarterly estimates and provide first estimates of important quantities such as the capital stock. Just as importantly, though, the annual accounts reconcile the different ways of measuring GDP. In doing so, what we thought we knew about the recent history of output growth can change.

Every purchase is also a sale, so conceptually, you should get the same answer for final output regardless of whether you count how much is produced, how much people spent on it, or how much income people got for producing it. In practice, though, the "production", "expenditure" and "income" approaches do not always line up until the ABS goes through a more thorough reconciliation process in compiling the annual accounts.

When the future changes the past

Future data can also change our view of the past. Two good examples are trend estimation and seasonal adjustment. Future observations help reveal whether an apparent trend is stable. As a result, real-time trend estimates can differ considerably from those calculated with the benefit of later data.

Identifying stable seasonal patterns also requires a reasonable run of data. Future observations affect whether an earlier movement is judged to be normal seasonal variation. This problem is more pronounced for newer series, where there is not yet enough history to establish what "normal" looks like.

Consider, then, the monthly CPI. This relatively new measure has only a short run of data with many individual components having too little history to use standard seasonal adjustment methods. As Westpac's senior economist Justin Smirk has [previously highlighted](#), some components such as footwear are being 'seasonally adjusted' by applying Henderson trends, similar

to those used in the 'trend' measures of labour market and national accounts data. For some other components, including books, furniture, audio-visual and computing equipment and children's clothes, certain price falls – usually associated with sales periods – are just arbitrarily removed from the seasonally adjusted series. The index is held at its previous month's level but otherwise matches the non-seasonally adjusted series.

The seasonally adjusted measures of these CPI components will inevitably be revised over time, and thus so could the monthly trimmed mean estimates. This helps explain why the RBA has said it would, for now, focus on the quarterly trimmed mean based on the old seasonal factors. That measure will at least not be buffeted by shifting measurement of seasonality in a short history. If seasonal patterns are themselves also shifting, the current underlying trend might look a bit different in a few years, not just a smoother month-to-month profile.

The broader point here is to remember that economic statistics are a lens on reality. Sometimes the lens is smudged, sometimes the scope is off and sometimes what is being read as underlying trends is wrong. Measures constructed from several imperfect series – productivity from output and hours worked, or unit labour costs from productivity and labour costs, or savings rates derived from income and spending – are especially prone to revision compared with concepts that can be measured more directly, like a price. That is a strong argument for humility before making firm policy pronouncements based on simple data comparisons.

Cliff Notes: mulling the minutes

Sian Fenner, Head of Business and Industry Economics
Ryan Wells, Economist
Illiana Jain, Economist

The only data release of note in Australia this week was the [October Westpac-MI Consumer Sentiment Survey](#), which reported a 4.7% drop in the headline index. At 80.4, sentiment has tumbled back to deeply pessimistic levels, similar to the post-pandemic cost-of-living shock when readings were among the weakest in the survey's more than fifty-year history. Indeed, inflation and interest rate pressures are once again clearly front of mind for consumers, with both the view on 'family finances vs a year ago' and 'family finance next 12 months' falling 8.0% and 6.4% in the month, respectively. Moreover, the RBA's September rate hike looks to have had a significant impact – sentiment tanked 20% between those surveyed before the RBA decision and those surveyed afterwards.

Views on the economic outlook were relatively more resilient, but they still weakened, with the one-year and five-year ahead sub-indexes falling 1.6% and 0.4% respectively. Consumers are becoming more 'on edge' about job security, albeit not outright alarmed. The unemployment rate remains relatively low versus history, although it has drifted up to a cycle high of 4.6% as labour supply continues to outstrip demand. We expect it to hold there in next week's September Labour Force Survey – see our [preview](#) for more detail. All told, with higher interest rates, renewed inflation pressures and a softening jobs market all weighing at once, households are entering the final months of the year on the back foot.

Offshore, the focus was on US data.

Before turning to this week's releases, it is worth noting that September non-farm payrolls came in softer than expected across most metrics. Employment rose by only 29k (89k expected), and there were sizeable downward revisions to prior months, with a combined 60k removed from July and August payrolls, leaving gains of just 31k and 29k respectively. The details pointed to weaker hiring in leisure & hospitality and education & health services industries, although construction and manufacturing employment continued to benefit from ongoing data-centre-related investment. The unemployment rate edged up to 4.2%, with softer employment occurring alongside a rise in labour force participation to 61.8%. Meanwhile wage growth moderated to 0.1%*mt*h (3.0%*yr*). Taken together, the report suggests labour demand is cooling, with the three-month average pace of job creation slowing to around 50k. However, softer payroll gains are not necessarily indicative of labour market deterioration. Lower immigration and ageing demographics have reduced the pace of employment growth needed to keep the unemployment rate stable. As such, the report is more

consistent with a labour market that is gradually normalising than one entering a meaningful downturn.

The September FOMC minutes reinforced a distinctly hawkish message, with participants noting they had "not seen sufficient progress on lowering inflation in recent months" and expressing concern that inflation risks remained "skewed to the upside". Policymakers highlighted that both core services and core goods inflation remained elevated, with some attributing persistent goods price strength to the effects of the AI buildout despite the sector's traditional disinflationary role. There was also concern that, after more than five years of inflation above target, elevated inflation could begin to influence inflation expectations and wage- and price-setting behaviour. In contrast, labour market conditions were generally viewed as stable and "close to maximum employment". While a majority noted the labour market had strengthened somewhat recently, several participants highlighted unusually low dynamism, characterised by low hiring, low layoffs, a low job-finding rate and elevated long-term unemployment. Importantly, participants generally judged that aggregate wage growth was moderate and "consistent with inflation moving toward 2 percent", with several explicitly noting that "the labor market was not currently a source of inflationary pressures".

"A key focus was the interaction between AI investment, productive capacity and inflation."

While participants broadly expected AI-related investment to boost productivity growth and potential output over time, several warned that "the AI buildout could cause aggregate demand to outpace aggregate supply over the medium term, putting upward pressure on inflation". Consistent with this view, some participants had raised their estimate of the neutral policy rate and several judged the current policy stance to be "not restrictive or only mildly restrictive". Against this backdrop, all participants supported the September rate increase, and most assessed that another increase in the federal funds rate would likely be appropriate by year-end, although future decisions would remain data dependent.

The September ISM Services PMI released this week painted a similar picture of an economy that remains resilient but is gradually losing momentum. The headline index eased to 54.9 from 55.4 in August, with the decline driven by a sharp fall in business activity and a 9.4pt drop in new export orders, which slipped into contractionary territory for the first time in eight

months. Labour market conditions improved modestly with the employment index moving to broadly neutral territory 50.1 after two months below 50, supported by elevated backlogs and still-solid demand. Respondent commentary illustrated the mixed nature of labour demand, with some firms reporting they were "filling positions vacated due to promotions or retirements", while others cited "restructuring due to efficiencies gained using AI tools". Cost pressures also remained elevated, with the prices paid index rising to 74.0, its highest level since July 2022 and around 18pts above its historical average, while fuel costs, tariffs and supply chain constraints remained the most frequently cited concerns. Overall, the report suggests services activity remains consistent with ongoing expansion, albeit at a slower pace, while labour demand and pricing pressures remain firm.

Overall, the data supports our view that the FOMC will move to a broadly neutral policy stance by the end of the year with one more rate hike, although the case for a back-to-back move in October has become less clear cut.

Fuel, housing and the bumpy road ahead



Kelly Eckhold
Chief Economist NZ

Higher fuel costs, a weaker exchange rate, and a softer housing market have prompted a refresh of [our near-term forecasts](#). Inflation looks set to finish 2026 above 4%, while growth could lose a little momentum into year-end. Even so, we continue to expect the RBNZ to pause in October before lifting the OCR to 3% in December.

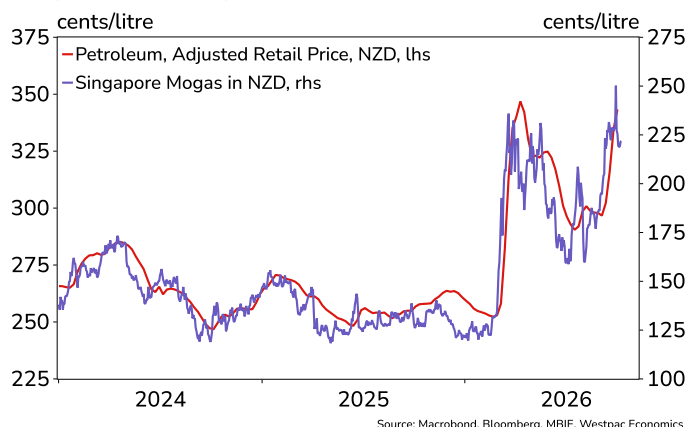
New Zealand's recovery is still moving forward, but the road has become rougher. Since our last forecast update in August, global oil and refined-fuel prices have climbed sharply, the New Zealand dollar has fallen, and longer-term interest rates have moved higher. At home, the housing market has remained weaker than we anticipated. None of those developments, on their own, are enough to derail the recovery. Together, however, they point to a tougher finish to 2026 for households and businesses. We have therefore revisited our near-term inflation, housing and growth forecasts. The broad story remains one of continued economic expansion and gradually improving labour demand, but with a more pronounced inflation spike and slightly less momentum in consumer spending. Our OCR call is unchanged: a pause at the October review, followed by a 25 basis point increase to 3% at the December Monetary Policy Statement.

A temporary inflation reprieve

We continue to think that consumer prices rose 0.7% in the September quarter. That would lower annual inflation from 4.1% in June to 3.7% in September, broadly consistent with the monthly price updates published so far. The final monthly release for the quarter is due on 16 October and will help firm up that estimate. But any easing in the annual rate is likely to prove short-lived. We now expect prices to rise 1.1% in the December quarter, lifting annual inflation to a three-year high of 4.2% by year-end. That is half a percentage point above our previous projection and above the RBNZ's September forecast of 3.9%.

The reason is easy to see at the petrol pump. Higher global fuel prices have been amplified by a more than 4% fall in the New Zealand dollar since the start of September. Local petrol prices have risen by around 50 cents a litre over the past month, with the nationwide average price of 91 unleaded reaching a record \$3.55 a litre this week. RBNZ Governor Breman acknowledged a couple of weeks ago that higher oil prices have tilted the risks around the near-term inflation outlook to the upside. Importantly, however, the RBNZ remains focused on the medium-term inflation outlook rather than trying to offset every movement in volatile fuel prices.

Singapore 91 Mogas vs NZ 91 retail petrol price



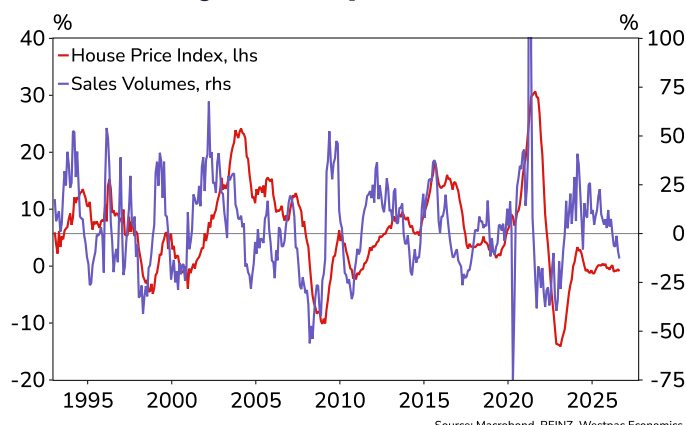
For now, we have left our quarterly inflation forecasts for 2027 unchanged. Even so, the higher starting point at the end of this year means annual inflation is likely to remain firm through much of 2027. Our updated profile has inflation at 3.7% in March 2027, 2.6% in June, 2.5% in September and 1.7% in December. That is broadly similar to the RBNZ's path through the first three quarters, although our forecast falls more quickly late in the year. We will take a fuller look at the 2027 inflation and growth outlook next week alongside the monthly Market Outlook.

Housing fails to find its feet

The housing market has also delivered a disappointment. We had expected prices to stabilise through the second half of 2026, but sales volumes have continued to weaken, and the median time required to sell a property has lengthened to 48 days. Average prices have kept edging lower, despite firmer conditions in parts of the South Island with greater exposure to the strong export economy. The latest indicators do not suggest that a decisive turn is close. We have therefore revised our forecast for national house price growth in 2026 from a 0.6% rise to a 1.4% decline. That incorporates quarterly falls of 0.5% in September and 0.8% in December.

The headwinds are familiar: the labour market remains soft, mortgage rates are higher and employment growth is still moderate. Those forces are likely to keep the market subdued for some time, with risks tilted towards another weak year in 2027. Changes to the taxation of capital gains on investor housing following the 2026 General Election may add another potential drag.

Annual % change in house prices vs sales



Regional outcomes will continue to differ. Tourism- and agriculture-focused areas should benefit from stronger income and employment growth, supported by robust commodity export prices. [We have lifted our 2026/27 Fonterra Milk Price forecast](#) to \$9.75/kg and set an opening forecast of \$9.50/kg for 2027/28. In contrast, homeowners in the major North Island cities may have to wait longer for the wealth boost that comes with rising property values. Data released this week shows that [household wealth continues to be dragged down](#) by declining housing values.

A little less momentum

The weaker housing backdrop matters for the wider economy. When petrol absorbs more of the household budget and home values are drifting lower, consumers tend to become more cautious. That combination is likely to crimp discretionary spending in the run-up to Christmas and could take some steam out of the construction recovery. That's even though our [own card spending data for September](#) showed resilience in consumer spending. Recent business and consumer confidence surveys have nevertheless remained resilient despite the rise in energy prices and long-term interest rates. Our short-term growth forecasts therefore remain broadly intact, but we have trimmed our December quarter consumer spending projection and now expect GDP growth of 2.5% over 2026. That is still a solid result, although the balance of risks has shifted to the downside.

There are several moving parts to watch. Sustained high fuel prices would squeeze household purchasing power more than we have allowed for. The sharp lift in long-term interest rates may also weigh on activity through 2027, even if shorter-term borrowing costs evolve as expected. The election result introduces two-sided risks that are difficult to quantify before the shape and timing of policy changes are known. Against that, strong agricultural incomes and signs of improving employment growth should provide a buffer. We have not changed our 2026 labour market forecasts. Hiring appears to be strengthening gradually, but it will take time before that improvement translates into a noticeable fall in the unemployment rate.

The RBNZ should still pause before Christmas

Despite the higher near-term inflation track, we are not changing our OCR forecast. Since the July Monetary Policy Review, our view has been that the RBNZ would slow the pace of increases as the OCR approached the Bank's estimate of a neutral 3%. The September meeting clearly signalled a pause in October and one further rise in December. We continue to regard that as the most likely path. The latest developments raise headline inflation but, so far, there is little evidence that inflation expectations are moving higher or that the fuel shock is generating broader, persistent price pressure. At the same time, growth risks warrant some caution.

A pause in October would give the Monetary Policy Committee time to assess the cumulative effect of the increases already delivered and to refine its strategy for 2027. Financial conditions have also tightened from an unexpected source: longer-term interest rates have risen markedly over the past six weeks. That increase has at least offset the easing impulse from the lower exchange rate, even though the weaker currency is adding to imported inflation in the near term. We still think the RBNZ is likely to have more work to do in 2027, but there is plenty of data to come before that judgement needs to be made.

For now, the best description of the outlook is resilient but less comfortable. Export incomes remain strong, activity is expanding and the labour market is beginning to improve. But households face an awkward combination of record petrol prices, soft home values and higher borrowing costs. That mix points to a bumpy end to the year: inflation will be hotter, spending growth a little cooler and the recovery more uneven across regions. The RBNZ can afford to wait in October, but if the economy develops broadly as we expect, a further hike to 3% in December will still be needed.

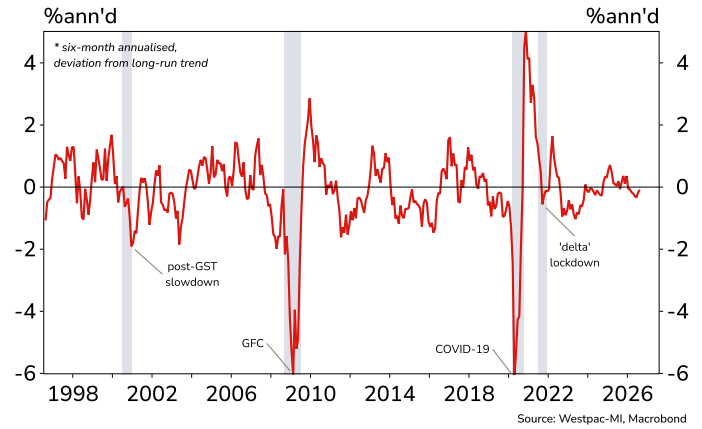
AUS: Sep Westpac MI Leading Index (%ann'd)

Oct 13, Last: -0.09

The Leading Index growth rate lifted to -0.09% in August from -0.17% in July. Momentum has improved to be just a touch below trend, consistent with soft rather than weak growth.

The September read looks likely to be another soft one. Component-wise, sentiment-based measures continued to deteriorate in response to higher fuel price another RBA rate hike while dwelling approvals also recorded a decline and both equity and labour markets softened further. Commodity prices ticked up and the yield spread also widened slightly as rising bond yields outpaced short term rates.

Westpac-MI Leading Index



AUS: Sep Labour Force – Employment Change (000s)

Oct 15, Last: 39.5, Westpac f/c: 20

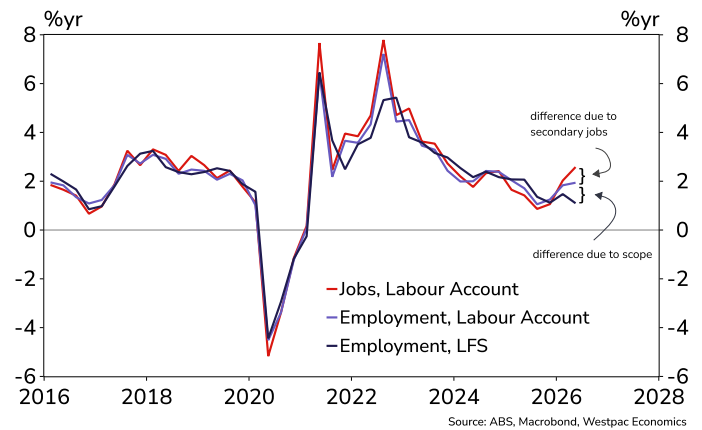
Market f/c: 20, Range: flat to 35

Employment surprised to the upside in August with a 39k gain. Looking through the monthly swings, while momentum has improved over recent months, employment growth has largely continued to bump around below its historic average and the current pace of working age population growth.

Our [preview](#) provides a deeper look into the various gauges of labour demand – the LFS suggests employment growth is sluggish but broader measures in the Q2 Labour Account showed a stronger narrative. Meanwhile job ads and business surveys are also pulling in different directions.

For September, we have pencilled in a lift in employment of +20k, which would see annual growth hold in recent ranges.

Jobs vs. Employment Growth



AUS: Sep Labour Force – Unemployment Rate (%)

Oct 15, Last: 4.6, Westpac f/c: 4.6

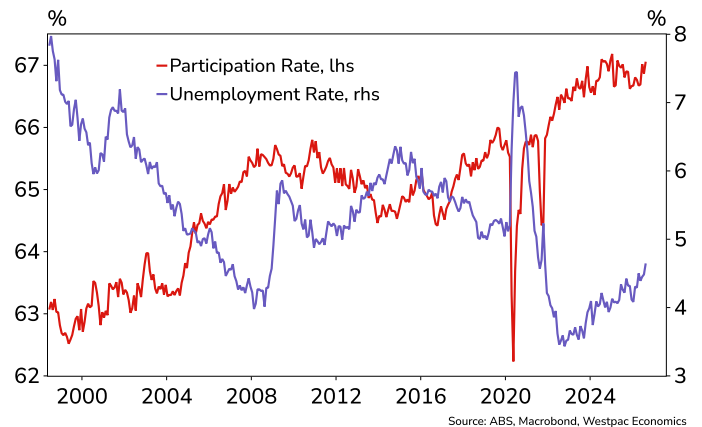
Market f/c: 4.6, Range: 4.5 to 4.7

The participation rate jumped to 67.1% in August, just under the 115-year high recorded in January 2025. With labour supply once again outstripping demand, the unemployment rate rose from 4.5% to 4.6% – the highest since in late-2021, close to rounding up to 4.7% (4.646% at three decimal places).

A softer economy and sub-par employment growth typically discourages some people to search for work, but cost-of-living pressures and interest rate rises are more than outweighing this effect, encouraging more people into the labour market.

With the participation rate expected to pare back to 67.0%, we think the unemployment rate will hold steady at 4.6%. Please see our [preview](#) for more detail.

Participation and unemployment rates

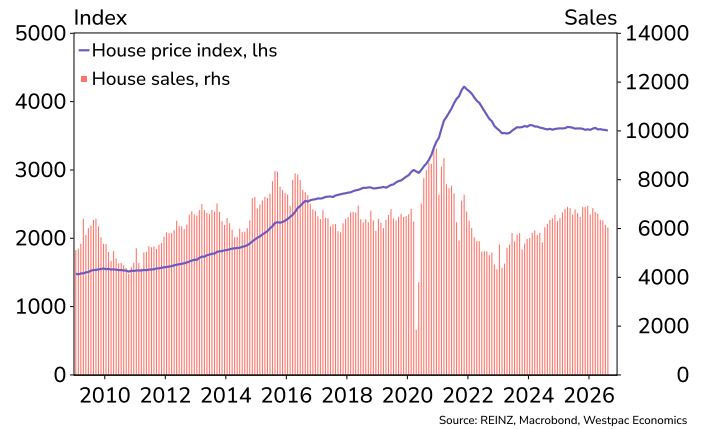


NZ: Sep REINZ House Sales and Prices (%ann)

Oct 14, Sales Last: -13.0, Prices Last: -0.9

The housing market has remained soft in recent months, with sales falling to a two-year low and prices edging lower. Mortgage rates have risen as the RBNZ has initiated a new tightening cycle, and a growing supply of unsold homes on the market means that buyers are under no pressure to bid prices higher. Conditions remain stronger in the south, with prices up on last year in Canterbury, Otago and Southland, while Auckland and Wellington are the weakest markets.

REINZ house sales and prices

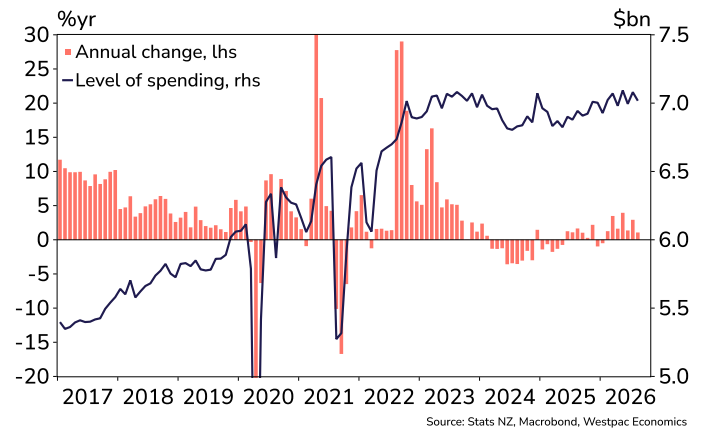


NZ: Sep Retail Card Spending (%mth)

Oct 16, Last: -0.9, Westpac f/c: 0.8

We're forecasting a 0.8% rise in retail spending in September, reversing the 0.9% fall seen in the previous month. In part, the forecast rise in spending is due to the sharp increases in petrol prices in recent weeks. Those higher fuel costs are weighing on spending in other categories like hospitality. Nevertheless, we still expect a 0.5% rise in core (ex-fuel) spending. Stats NZ's monthly retail spending figures have been very choppy for the past two years, and we're likely to see a bounce following last month's unexpected falls in categories like furnishings.

NZ retail card spending

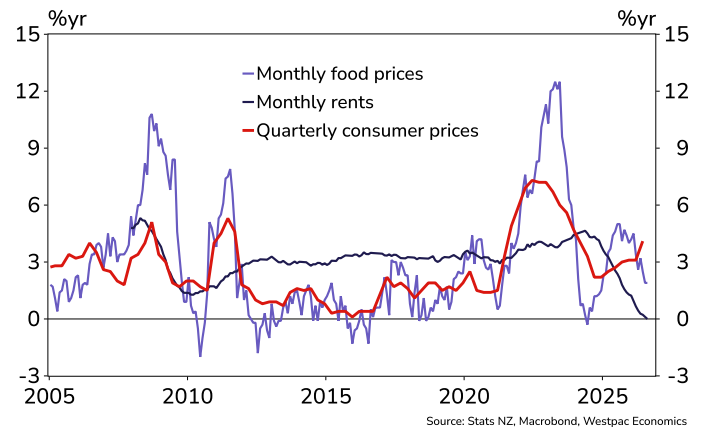


NZ: Sep Selected Consumer Prices (%mth)

Oct 16

This will be the last monthly update ahead of the full quarterly CPI release on 22 October. We're currently forecasting a 0.7% quarterly rise in the CPI (+3.7%yr) and will be watching the detail of the Selected Prices update to pin down that forecast. In terms of the big categories, we're forecasting a roughly 6% rise in petrol costs, along with a 0.7% rise in food prices. That's balanced against continued softness in housing rents (which are the single largest component of the CPI). The key sources of risk for our forecast are the volatile travel categories, most of which recorded sizeable drops last month that we expect to partially reverse in September.

NZ selected consumer prices



What to watch

For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 12						
US	Columbus Day	–	–	–	–	Stock markets open, bond markets closed.
	Fedspeak	–	–	–	–	Hammack.
Tue 13						
Aus	Sep RBA Minutes	–	–	–	–	Markets will look for guidance on the policy outlook.
	Sep NAB Business Conditions	index	–1	–	–	Conditions have eased to their weakest level since the pandemic.
US	Sep NFIB Small Business Optimism	index	98.7	98.0	–	Confidence has recovered since onset of Middle East conflict.
	Sep Existing Home Sales	%mth	–2.0	–0.8	–	Housing demand remains constrained by affordability.
	Fedspeak	–	–	–	–	Waller, Barkin, Collins.
Wed 14						
Aus	Sep Westpac–MI Leading Index	%ann'd	–0.09	–	–	Consistent with soft, rather than weak growth.
NZ	Sep REINZ House Prices	%yr	–0.9	–	–	Buyer enthusiasm dampened by rising mortgage rates...
	Sep REINZ House Sales	%yr	–13.0	–	–	...and an ample supply of homes on the market.
	Aug Net Migration	no.	3010	–	–	Balance has turned more positive as NZer departures slow.
Chn	Sep PPI	%ann	3.8	4.4	–	China's inflation pick-up appears increasingly supply-led ...
	Sep CPI	%ann	0.8	1.0	–	... while consumer inflation remains subdued.
	Sep Trade Balance	US\$bn	119.1	117.3	–	The AI boom continues to buoy Chinese exports.
US	Sep CPI	%mth	0.4	0.6	–	Iran war, tariffs and data centre buildout are adding pressure.
	Oct Federal Reserve's Beige Book	–	–	–	–	Update on economic conditions across the regions.
	Fedspeak	–	–	–	–	Bowman, Barkin.
Thu 15						
Aus	Sep Employment Change	000s	39.5	20	20	Labour demand absorbing much of the additional supply ...
	Sep Unemployment Rate	%	4.6	4.6	4.6	... but not enough to prevent unemployment from drifting up.
Jpn	Aug Core Machinery Orders	%mth	–3.7	2.9	–	Business investment momentum remains uneven.
	Aug Industrial Production	%mth	–1.7	–	–	Final estimate.
Eur	Aug Industrial Production	%mth	–0.1	0.1	–	Manufacturing activity continues to struggle.
UK	Aug Monthly GDP	%mth	0.4	–	–	July's rise showed surprising resilience.
US	Sep Retail Sales	%mth	1.2	0.3	–	Focus is on the underlying health of the consumer.
	Oct Philly Fed Manufacturing	index	37.8	26.4	–	Sentiment bounced notably; Philly leads the regions.
	Initial Jobless Claims	000s	197	–	–	Claims remain low and stable.
	Sep PPI	%mth	0.4	0.5	–	Pipeline inflation pressures remain contained.
	Aug Business Inventories	%mth	0.8	0.4	–	Inventory accumulation picked up in July.
	Fedspeak	–	–	–	–	Hammack.
Fri 16						
NZ	Sep Manufacturing PMI	index	53.1	–	–	A relatively strong performing sector in recent months.
	Sep Selected Price Indices – Food	%mth	0.3	–	0.7	Seasonal increases in meat and beverage prices.
	Sep Selected Price Indices – Rents	%mth	0.0	–	0.0	Ample supply continuing to limit rental growth.
	Sep Retail Card Spending	%mth	–0.9	–	0.8	Expected to bounce following last month's unexpected fall.
Eur	Aug Trade Balance	€bn	5.0	–	–	Exporters continue to diversify beyond the US.
	Sep CPI	%ann	3.8	3.8	–	Final estimate.
UK	BoE Governor Bailey	–	–	–	–	Fireside chat with Institute of International Finance.
US	FOMC Chair Warsh	–	–	–	–	Fireside chat at IMF Annual Meetings, 2:30pm AEST.
	Sep Import Price Index	%mth	0.7	0.6	–	AI hardware and commodity price volatility are driving the rise.
	Sep Industrial Production	%mth	0.0	0.4	–	Manufacturing output growth remains patchy.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (9 Oct)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.77	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.92	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.90	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.35	5.20	5.10	5.00	4.90	4.85	4.80	4.80	4.80	4.80
10 Year Spread to US (bps)	12	40	35	30	25	15	5	0	-5	-10
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	5.23	4.80	4.75	4.70	4.65	4.70	4.75	4.80	4.85	4.90
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.22	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.00	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	5.05	4.75	4.90	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	-18	-5	15	30	40	35	30	25	20	15

Exchange rate forecasts

	Latest (9 Oct)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6976	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5618	0.59	0.61	0.63	0.64	0.65	0.65	0.65	0.65	0.65
USD/JPY	158.07	155	154	153	152	151	150	149	148	146
EUR/USD	1.1226	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3239	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6917	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2417	1.22	1.19	1.16	1.14	1.12	1.12	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	-	-	-	-
%yr end	2.5	2.1	2.1	1.4	1.5	1.4	1.4	1.6	2.6	1.4	1.6	2.5
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	0.5	0.7	0.6	0.7	0.4	-	-	-	-
%yr end	4.1	3.9	3.9	3.7	3.0	3.0	2.5	2.4	3.6	3.7	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.7	0.8	0.7	0.6	0.6	-	-	-	-
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.8	2.7	3.3	3.3	2.7	2.3

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.9	0.2	0.6	0.7	1.1	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.9	1.7	2.1	2.4	2.5	2.6	2.7	2.8	0.3	2.4	2.8	3.1
Unemployment rate %	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	1.1	0.4	0.4	0.6	0.3	-	-	-	-
Annual change	3.1	4.1	3.7	4.2	3.7	2.6	2.5	1.7	3.1	4.2	1.7	2.1

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy here](#), or the Australian [Group Privacy Statement here](#). Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously

with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access [Westpac's Financial Services Guide here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ►

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ("WCM"), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586).

The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order); (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.